

Kyung Dong Navien (009450 KS)

The plant is built. Now the cash comes back.

We initiate on Kyung Dong Navien, the Korean boiler and water heater maker that earns 58% of its revenue in North America, with an **Overweight** rating and a target price of **KRW 83,000**, 37.9% above the current price. Our KOSPI-wide screen flags Navien as one of the most undervalued companies relative to the P/B its ROE and sector justify. We think the market is anchoring on a FY2025 earnings decline that was driven by tax, not operations, and is not yet pricing the free cash flow that follows the end of a two-year capex cycle.

1. The FY2025 earnings dip was tax, not business

FY2025 operating profit rose 8% while net income fell 28%. The effective tax rate jumped to 40.5% from 18.6%, driven by a swing in deferred taxes. Tax at statutory rates was 29.3% of pre-tax profit. On a normal tax rate, the earnings base is much higher than the headline suggests.

2. The capex cycle is over and free cash flow turns positive

The KRW 104.3bn Seotan plant expansion was completed in July 2026. Capex reached 10.8% of revenue in FY2025 and free cash flow (operating cash flow less capex) was KRW (91)bn. We model capex falling to 4.5% of revenue by FY2028E and free cash flow to the firm of KRW 62bn to 90bn a year from FY2027E.

3. Room to pay out, a Value-Up story not yet told

Navien paid out 12% of FY2025 earnings, against a median of 25% across the 214 non-financials in our screen, and has not filed a Value-Up plan. The stock trades 63% below the P/B our screen model implies for its ROE and sector. Our event study shows that filing a plan alone did not move prices (mean CAR 0.24%, t = 0.41), so the catalyst we watch for is an actual increase in payout funded by the new free cash flow, not the filing itself.

Key risks

- **US demand and tariffs.** 58% of revenue is North American. 1H2026 margins (18.2% vs 12.0% in 1H2025) include US tariff refunds whose amount is not disclosed. We do not extrapolate them.
- **Slowing growth.** 1H2026 revenue grew 7.4% including the Commax acquisition, and Q2 revenue fell 1.0% year on year (DART preliminary results, 11 Aug 2026).
- **Share price signal.** The stock fell from KRW 87,800 at end 2024 to KRW 60,200 despite higher operating profit. The market may be pricing a risk that filings do not yet show.
- **FX (KRW/USD), Russia sanctions, and losses at Commax** (FY2025 operating loss KRW 14.2bn).

Financial summary

	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (KRW bn)	1,354	1,502	1,576	1,667	1,752
Operating profit (KRW bn)	133	143	202	158	166
Operating margin	9.8%	9.5%	12.8%	9.5%	9.5%
Net income to parent (KRW bn)	124	90	135	106	113
EPS (KRW)	8,603	6,206	9,334	7,302	7,789
P/E at current price	7.0x	9.7x	6.4x	8.2x	7.7x
ROE (on opening equity)	21.3%	12.9%	17.5%	11.8%	11.4%
EV/EBITDA at current EV	6.0x	5.5x	4.2x	5.0x	4.7x

Source: DART (FY2024 to FY2025 consolidated), analyst model (FY2026E to FY2028E). FY2026E includes 1H2026 actuals, which contain undisclosed US tariff refunds. Target price is the DCF value rounded to the nearest KRW 1,000.

Overweight

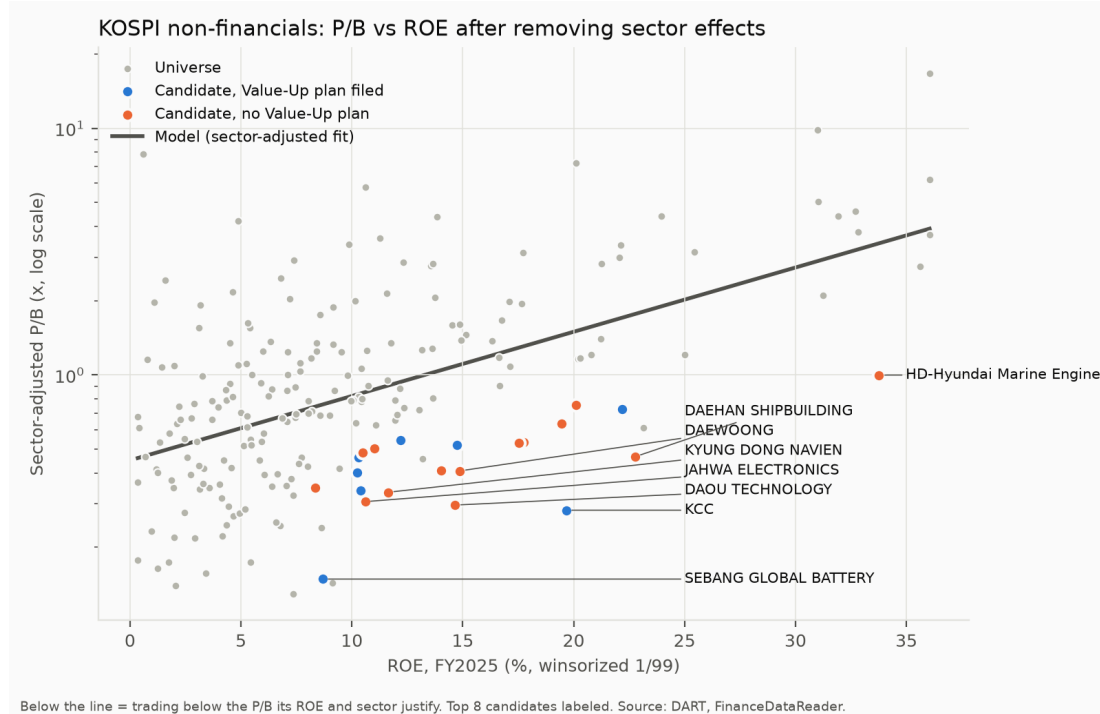
Target price (KRW)	83,000
Price, 25 Sep 2026 (KRW)	60,200
Upside	37.9%
DCF value (KRW)	83,472
WACC / terminal g	7.9% / 2.0%

Key data

Market cap (KRW bn)	870
Shares outstanding	14.45m
52-week range (KRW)	53,600 to 78,500
Net debt, Jun 2026 (KRW bn)	200
Net debt / LTM EBITDA	0.8x
P/B, Jun 2026	0.98x
P/E, LTM	5.5x
P/E, FY2027E	8.2x
Value-Up plan filed	No

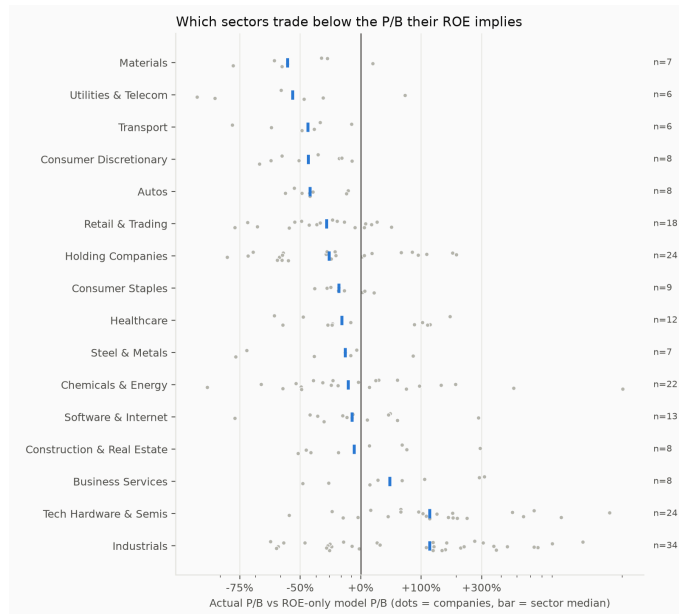
Market context: where the Korea discount still sits

Korea's Value-Up Program (from February 2024), the Commercial Act amendments (from July 2025) and the January 2026 dividend tax changes all aim to close the gap between Korean valuations and what companies earn. To find where that gap remains, we screened 214 KOSPI non-financials with market caps above KRW 500bn. We regress log P/B on ROE with sector fixed effects. ROE explains about half the variation (R-squared 0.53); within a sector, one extra point of ROE goes with roughly 6.0% higher P/B.



Source: DART, FinanceDataReader, analyst screen. Sector-adjusted P/B removes each sector's fixed effect; distance below the line is the discount to ROE-justified P/B.

The discount is concentrated rather than universal. Only 32% of companies trade below a textbook justified P/B at a 9.2% cost of equity. Materials, utilities and telecom, transport and autos trade well below what their ROE implies, while industrials and technology hardware trade far above it.



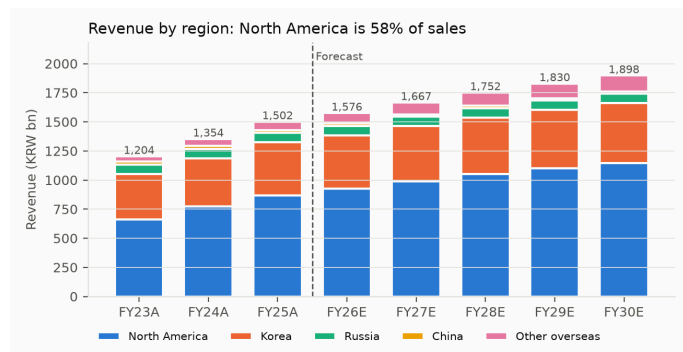
Source: analyst screen, ROE-only model (without sector effects) to show sector-level gaps.

Did Value-Up filings move prices? Across 169 first Value-Up plan disclosures, the mean cumulative abnormal return over trading days -1 to +5 was 0.24% (t = 0.41). Markets appear to have priced the program at the policy level, not company by company. For stock selection this means filing a plan is not enough; delivery on payout is what matters.

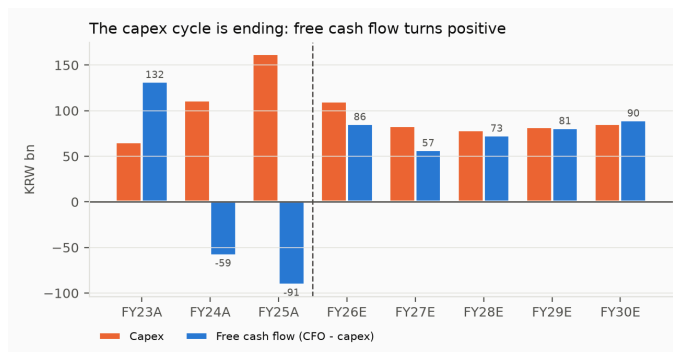
Why Navien. Of the 22 candidates (bottom quartile of residual, above-median ROE, below-median payout), many have peak-cycle ROE (shipbuilding) or one-off gains. Navien combines a large discount, a simple single-segment business, an explainable earnings dip and a clear cash flow inflection.

Company: a boiler maker that became a US water heater business

According to its FY2025 annual report, the parent company's sales are 45% water heaters, 38% household boilers and 17% other products. In the US, water heaters are 73% of sales. In Korea, Navien developed the industry's first condensing boiler in 1998, and condensing boilers are now mandatory in designated air-quality zones, which supports replacement demand. The company reports a single operating segment but discloses revenue by region, which we use as the forecast driver.



Source: DART notes (geographic revenue), analyst forecasts. Korea includes Commax from FY2026E.



Source: DART cash flow statements (FY2023A to FY2025A), analyst model (FY2026E onward, CFO less capex, before acquisitions and dividends).

What we assume

- **Revenue:** North America +7% in FY2026E (1H2026 actual +7.1%), slowing to +4% by FY2030E. Korea flat in FY2026E (1H2026 flat even with Commax), then +3%. Russia flat, China -5%, other overseas +20% fading to +8%.
- **Margins:** FY2026E uses 1H2026 as reported plus a 2H2026 margin equal to 2H2025 (7.1%). From FY2027E we use 9.5%, the FY2023 to FY2025 average, because the size of the 1H2026 tariff refund is not disclosed.
- **Tax:** 29.9% on EBIT, the FY2024 to FY2025 average of tax at statutory rates, excluding deferred tax swings.
- **Reinvestment:** capex 7.0% of revenue in FY2026E, 5.0% in FY2027E, 4.5% after. D&A 3.5% and net working capital 26% of revenue, in line with FY2024 to FY2025.

What would change our view

- **Margin below its FY2023 level (8.8%).** At an 8.5% long-term operating margin, the DCF value is KRW 69,307 (15% upside), close to the Neutral boundary. This is the main downside case.
- **Higher discount rate.** At an 8.9% WACC (one point above ours), the value is KRW 69,363 (15% upside).
- **Part of the 1H2026 margin holds.** At a 10.5% long-term margin, the value is KRW 97,660 (62% upside).
- **Capital return.** A Value-Up plan with a payout well above today's 12% would address the thesis directly. We would revisit the rating if free cash flow is instead spent on further acquisitions.

This note is an independent student project prepared for learning and portfolio purposes. It is not investment advice, not a solicitation, and not affiliated with or endorsed by any financial institution. All figures are from public data (DART, FinanceDataReader, FRED, Damodaran Online, Yahoo Finance) processed by the code and Excel model in the accompanying repository. Price data as of 25 September 2026.

Valuation: DCF target of KRW 83,000

Free cash flow to firm

KRW bn	2H26E	FY27E	FY28E	FY29E	FY30E
Revenue	762.9	1,667.3	1,752.1	1,829.6	1,897.9
EBIT	54.0	158.4	166.4	173.8	180.3
Tax on EBIT	(16.1)	(47.3)	(49.7)	(51.9)	(53.8)
D&A	27.8	58.4	61.3	64.0	66.4
Capex	(44.1)	(83.4)	(78.8)	(82.3)	(85.4)
Change in NWC	35.0	(23.6)	(22.1)	(20.2)	(17.7)
FCFF	56.6	62.5	77.2	83.5	89.7
PV of FCFF	55.5	57.9	66.3	66.4	66.2

Valuation date 30 Jun 2026, mid-period discounting. 2H2026E is FY2026E less 1H2026 actual.

Discount rate

Risk-free rate (Korea 10Y, FRED)	4.29%
Equity risk premium (Damodaran, Korea)	4.87%
Unlevered beta (Damodaran, Building Materials)	0.86
Levered beta at D/E 0.41	1.12
Cost of equity	9.74%
After-tax cost of debt	3.45%
WACC	7.90%
Terminal growth	2.0%

The regression beta against KOSPI is 0.13 with R-squared 0.01, so we use a bottom-up industry beta relevered at Navien's D/E.

Sensitivity: value per share (KRW)

WACC \ g	1.0%	1.5%	2.0%	2.5%	3.0%
6.9%	86,403	94,118	103,408	114,809	129,133
7.4%	78,525	84,929	92,519	101,658	112,874
7.9%	71,795	77,183	83,484	90,952	99,943
8.4%	65,982	70,567	75,868	82,068	89,416
8.9%	60,910	64,851	69,363	74,579	80,680
OPM \ WACC	6.9%	7.4%	7.9%	8.4%	8.9%
8.5%	86,274	77,001	69,307	62,822	57,283
9.5%	103,408	92,519	83,484	75,868	69,363
10.5%	120,542	108,036	97,660	88,914	81,442
11.5%	137,676	123,554	111,837	101,959	93,522
12.5%	154,809	139,072	126,013	115,005	105,602

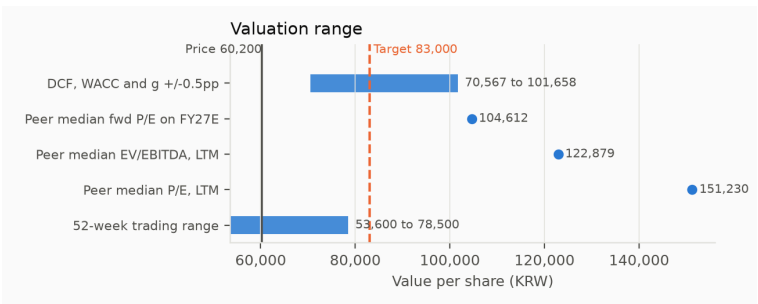
From EV to equity

Sum of PV of FCFF (KRW bn)	312.3
PV of terminal value (KRW bn)	1,101.7
Enterprise value (KRW bn)	1,414.1
Less: net debt, 30 Jun 2026	200.0
Less: non-controlling interests	7.6
Equity value (KRW bn)	1,206.4
Value per share (KRW)	83,472
Terminal value share of EV	78%
Implied terminal EV/EBITDA	6.3x

Trading comparables (cross-check, not blended into the target)

Company	Ticker	EV/EBITDA	P/E TTM	P/E fwd	P/B	ROE
A. O. Smith	AOS	10.6x	15.9x	14.4x	4.3x	27.1%
Rinnai	5947.T	5.5x	13.1x	15.1x	1.1x	9.2%
Noritz	5943.T	6.3x	14.1x	32.0x	0.7x	5.1%
Ariston Holding	ARIS.MI	8.4x	13.5x	9.9x	0.9x	7.3%
Lennox International	LII	12.5x	16.4x	14.3x	10.0x	71.8%
Coway	021240.KS	7.2x	10.2x	8.9x	n/a	19.3%
Peer median		7.8x	13.8x	14.3x	1.1x	14.2%
Kyung Dong Navien	009450 KS	4.2x	5.5x	8.2x	1.0x	17.8%

Source: Yahoo Finance via yfinance (peers, trailing twelve months, local currency), analyst model (Navien). Navien LTM figures include 1H2026 tariff refunds.



Our DCF sits below every comparables-based value. At the peer median forward P/E on our FY2027E earnings, Navien would be worth KRW 104,612. We anchor on the DCF because it does not rely on refund-inflated trailing earnings, which makes the target conservative. The main upside risk to our target is margin: each point of long-term operating margin is worth roughly KRW 14,000 per share at our WACC.